

Notes: Piotroski and Zhang (JFE, 2014)

Politicians and the IPO Decision: The Impact of Impending Political Promotions on IPO Activity in China

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1 Big picture

- **Question.** Do impending political promotions affect the timing and quality of IPO activity in China?
- **Core setting.** China is useful because provincial politicians have influence over firms, the state evaluates local officials partly on market-development performance, firms need political support to access capital markets, and many private firms depend on political connections for financing and investment opportunities.
- **Key political shock.** The paper studies high-level provincial promotion events involving the provincial party secretary or provincial governor. These promotions are planned, visible, and anticipated before they are officially implemented.
- **Main treatment.** A firm-year is in a promotion period if the firm is located in a province and year that either directly precedes or includes a provincial promotion event:

$$\text{Promotion}_{jt} = 1.$$

- **Main empirical design.** The authors build a risk set of exchange-eligible but still-private industrial firms. They estimate Cox proportional hazard models for whether eligible firms conduct an IPO.
- **Data contribution.** The paper combines hand-collected provincial political turnover data with China's National Bureau of Statistics data on nonpublic industrial firms. The final exchange-eligible risk set contains **28,152 firm-years** from 2001–2008.
- **Main result.** IPO activity rises in promotion periods. In the baseline hazard model, the promotion coefficient is **0.501** for all eligible firms, **0.314** for state-owned firms, and **0.555** for non-state-owned firms. In log-hazard terms, these correspond roughly to **65%**, **37%**, and **74%** higher hazards of IPO activity, respectively.
- **SOE interpretation.** For state-owned firms, promotion-period IPOs are consistent with local politicians accelerating partial privatizations to signal market-development performance, build political credentials, or create rent-seeking opportunities.
- **Private-firm interpretation.** For non-state firms, promotion-period IPOs are consistent with opportunistically using existing political connections before those connections are weakened by turnover.
- **Heterogeneity result.** For SOEs, the promotion effect is stronger in provinces with more pro-market development policies. For non-state firms, it is stronger when the promotion is expected to disrupt political connections more severely.
- **Quality result.** Promotion-period IPOs look worse ex post: they have weaker post-IPO financial performance, worse long-run stock returns, greater controlling-shareholder retention among non-state firms, and more frequent switching of IPO proceeds away from the prospectus-stated use.
- **Economic takeaway.** Political incentives do not merely affect whether state assets are privatized. They also affect *when* firms access public capital and whether the resulting capital allocation is efficient.

2 Institutional background and data (key objects)

2.1 Why promotions can affect IPOs

The paper’s mechanism starts from three facts about China during the sample period:

- **Politicians control or influence firms.** Provincial and local officials directly influence SOEs and indirectly influence non-state firms through approvals, regulation, licenses, credit access, and political networks.
- **IPOs are politically valuable.** Capital-market development is observable and can be used to signal local officials’ competence. State-controlled firms also allow politicians to retain influence after listing because Chinese IPOs are primary share issuances and often leave the state as a large controlling shareholder.
- **Political turnover threatens connections.** When a governor or party secretary is promoted, local political networks can be reshuffled. Firms that rely on those networks may prefer to go public before the connection loses value.

The promotion event can raise IPO activity through three channels.

1. **Career-concern / window-dressing channel.** A politician, or subordinates competing for the newly opened position, may push IPO activity to demonstrate market-development credentials.
2. **Connection-loss channel.** Connected firms may speed up IPOs before the incumbent official leaves and the political relationship becomes less useful.
3. **Rent-seeking channel.** Listing can bring in minority-shareholder capital that can later be directed to favored projects, related-party transactions, loans, or other tunneling opportunities.

Interpretation.

- For **state-owned firms**, the first and third channels are especially natural because politicians have more direct control over the listing decision.
- For **non-state-owned firms**, the second channel is especially important because private firms depend on political connections for financing and approval.
- The channels are not mutually exclusive. The same IPO can benefit a politician, a controlling shareholder, and a politically connected firm while hurting minority investors or capital-allocation efficiency.

2.2 IPO process in China

Domestic Chinese firms must apply to the China Securities Regulatory Commission (CSRC) before conducting an IPO. The CSRC’s Issuance Examination Committee screens the application using financial and nonfinancial information.

The paper emphasizes the following financial listing requirements:

- cumulative net profit over the three years before the IPO must exceed **RMB 30 million**, with no losses in any of the three years;

- cumulative revenue over the three pre-IPO years must be at least **RMB 300 million**, or cumulative operating cash flow must be at least **RMB 50 million**;
- intangible assets cannot exceed **20%** of total assets;
- net assets in the year before the IPO must be at least **RMB 30 million**.

Why this matters for the research design.

- These criteria let the authors construct a set of firms that *could* plausibly go public.
- The outcome is therefore not simply “which listed firms went public.” It is the IPO decision among firms that satisfy the financial eligibility requirements.
- The paper still recognizes that political connections, local nominations, and CSRC discretion can affect whether an eligible firm is actually approved.

2.3 Political promotion data

The promotion sample contains provincial turnover events involving the transfer, reassignment, or promotion of either the provincial party secretary or governor to a position with greater political power.

- The authors hand-collect promotions using the Chinese Personnel Database, China VIPs from China Information Bank, and web searches.
- The sample contains **48** provincial promotion events during 2001–2008.
- Four events are excluded because the promoted official had less than one year of tenure, so the official had little time to build relationships or affect the IPO process.
- Promotions are not concentrated in a single year or province: **25 of 31** provinces experience at least one promotion.
- The most promotion-heavy years are **2002**, **2003**, and **2007**, with 9, 8, and 14 events, respectively. The years 2002 and 2007 correspond to National Congress years.
- The most common events are promotion to a central-government ministry-level position and promotion from provincial governor to provincial party secretary.

The treatment indicator is:

$$\text{Promotion}_{jt} = \mathbf{1}\{\text{province } j \text{ is in the year before or year of a promotion event}\}.$$

Interpretation.

- The timing window is not an after-the-fact reaction window. It is designed to capture the period during which promotion-induced incentives should already be known or anticipated.
- The shock is province-year specific: firms in the same province are exposed at the same time, but firms in other provinces are not.

2.4 Exchange-eligible firm sample

The firm data come from China’s National Bureau of Statistics (NBS), which collects standardized financial data from industrial firms with annual sales above **RMB 5 million**.

- The raw NBS panel covers 1998–2008 and contains between **161,970** and **412,163** firms per year.
- The paper uses 1998–2008 data to identify eligibility and lagged controls, then studies IPO decisions over **2001–2008**.
- The final exchange-eligible sample contains **28,152 firm-years**: **5,423** state-owned firm-years and **22,729** non-state-owned firm-years.
- The paper identifies **440 IPOs** among eligible industrial firms: **206** state-owned and **234** non-state-owned.
- These 440 IPOs represent **75.3%** of all domestic Chinese listings over the period, but only **23.4%** of total proceeds because several very large bank IPOs are outside the industrial-firm sample.

Descriptive facts.

- The number of exchange-eligible firms rises from **1,629** in 2001 to **6,881** in 2008.
- The fraction of NBS firms that satisfy the listing requirements rises from **0.96%** to **1.67%**.
- The fraction of NBS industrial firms that are state-owned falls from **38.75%** in 1998 to **3.37%** in 2008.
- State firms are more likely to IPO conditional on eligibility: **3.80%** of state-owned eligible firm-years versus **1.03%** of non-state-owned eligible firm-years.
- The state share of eligible industrial IPOs falls from about **81.63%** in 2001 to about **21.21%** in 2008.

2.5 Main variables

- **IPO hazard.** Whether an exchange-eligible private firm conducts an IPO in year t , conditional on not having already done so.
- **Promotion.** Equals one in the year before or year of a provincial promotion involving the party secretary or governor.
- **Demotion.** Equals one in the year before or year of a provincial demotion involving the party secretary or governor.
- **Market Development.** A pre-sample measure of preferential treatments and exemptions granted to a province by the central government to establish special economic zones during 1978–1998.
- **Remain.** Equals one if the promoted politician remains in the province, for example moving from governor to party secretary in the same province.
- **Internal.** Equals one if the successor is elevated from within the affected province.

- **Tenure.** Log number of years the promoted politician served in the current position.
- **Firm controls.** Size, labor intensity, return on sales, leverage, sales growth, free cash flow, state ownership, and industry market-to-book.
- **Post-IPO outcomes.** Return on sales, sales growth, earnings growth, buy-and-hold market-adjusted returns, controlling-shareholder ownership, and whether IPO proceeds are switched away from the prospectus-stated use.

3 Empirical specifications (all equations + interpretation)

3.1 Baseline Cox hazard model

The main model estimates the hazard that an exchange-eligible firm goes public in year t , conditional on not having gone public before:

$$\begin{aligned}
 h(t) = h_0(t) \exp\{ & \beta_1 \text{Promotion}_{jt} + \beta_2 \text{GrowthGDP}_{jt} + \beta_3 \text{PerCapitaGDP}_{jt} \\
 & + \beta_4 \text{FirmSize}_{ijt} + \beta_5 \text{LaborIntensity}_{ijt} + \beta_6 \text{ReturnOnSales}_{ijt} \\
 & + \beta_7 \text{Leverage}_{ijt} + \beta_8 \text{SalesGrowth}_{ijt} + \beta_9 \text{FreeCashFlow}_{ijt} \\
 & + \beta_{10} \text{IndustryMTB}_{it} + \beta_{11} \text{SOE}_{ijt} + \text{YearFE} + \text{IndustryFE} + \varepsilon_{ijt} \}.
 \end{aligned} \tag{1}$$

How to read the model.

- $h_0(t)$ is the baseline IPO hazard.
- β_1 is the log change in the IPO hazard during promotion periods.
- Since this is a hazard model, $\exp(\beta_1) - 1$ is the approximate percentage change in the hazard.
- IPO firms drop out of the risk set after listing.
- Firm-level variables are lagged by one year to reduce mechanical contamination from the IPO.
- The model includes year fixed effects and broad industry fixed effects. Standard errors are clustered at the firm level.

Economic interpretation.

- A positive β_1 means eligible firms are more likely to go public in the period leading into a provincial promotion.
- The control variables capture normal IPO motives: profitability, growth, external financing needs, leverage, cash flow, market valuations, and ownership type.
- The comparison is not between listed and unlisted firms in general. It is among firms that satisfy the financial criteria to list.

3.2 Market-development interaction

To test whether SOE results reflect political rewards for market development, the authors interact promotion timing with provincial market-development orientation:

$$h(t) = h_0(t) \exp\{\alpha + \beta_1 \text{Promotion}_{jt} + \beta_2 \text{Promotion}_{jt} \times \text{MarketDevelopment}_j + \beta_3 \text{MarketDevelopment}_j + \Gamma' X_{ijt} + \text{YearFE} + \text{IndustryFE} + \varepsilon_{ijt}\}. \quad (2)$$

Interpretation.

- $\text{MarketDevelopment}_j$ is measured before the sample period, so it is less likely to be mechanically caused by contemporaneous IPO activity.
- For **state-owned firms**, a positive coefficient on $\text{Promotion} \times \text{MarketDevelopment}$ supports the career-concern story: politicians push more listings when they operate in provinces where market-development performance is likely to be rewarded.
- For **non-state firms**, the interaction should be less important because the loss of political connections is costly regardless of province-level market orientation.

3.3 Expected disruption of political connections

The paper then asks whether the promotion effect is stronger when existing connections are expected to be disrupted more severely:

$$h(t) = h_0(t) \exp\{\alpha + \beta_1 \text{Promotion}_{jt} + \beta_2 \text{Promotion}_{jt} \times \text{ExpectedDisruption}_{jt} + \Gamma' X_{ijt} + \text{YearFE} + \text{IndustryFE} + \varepsilon_{ijt}\}. \quad (3)$$

The expected-disruption proxy $\text{ExpectedDisruption}_{jt}$ is one of the following:

- Remain_{jt} : equals one if the promoted politician remains in the province. This should imply *less* disruption.
- Internal_{jt} : equals one if the successor comes from within the province. This should imply *less* disruption for private connections, but it can strengthen tournament or transition effects for state assets.
- Tenure_{jt} : log years served in the current position. Longer tenure implies deeper relationships and more disruption when the official leaves.

Interpretation.

- For non-state firms, the promotion effect should be weaker when $\text{Remain} = 1$ or $\text{Internal} = 1$, and stronger when tenure is longer.
- For state-owned firms, the signs can differ because SOE listings can also be used to facilitate political transition or to support the successor.

3.4 Post-IPO financial performance

To study whether promotion-period IPOs are lower quality, the authors estimate:

$$\begin{aligned}
\text{Performance}_{ijt} = & \alpha + \beta_1 \text{Promotion}_{jt} + \beta_2 \text{FirmSizePost}_{ijt} + \beta_3 \text{ScaledProceeds}_{ijt} \\
& + \beta_4 \Delta \text{Leverage}_{ijt} + \beta_5 \text{MarketToBook}_{ijt} + \beta_6 \text{Age}_{ijt} \\
& + \text{YearFE} + \text{IndustryFE} + \varepsilon_{ijt}.
\end{aligned} \tag{4}$$

The dependent variable is one of:

- three-year average return on sales after the IPO;
- three-year sales growth, measured against pre-IPO average sales;
- three-year earnings growth, measured against pre-IPO average EBIT.

Interpretation.

- If promotion-period IPOs are rushed or opportunistic, β_1 should be negative.
- The paper finds this pattern mainly for non-state-owned IPOs.

3.5 Post-IPO stock returns

The stock-performance regression is:

$$\begin{aligned}
\text{MarketAdjustedReturn}_{ijt} = & \alpha + \beta_1 \text{Promotion}_{jt} + \beta_2 \text{FirmSizePost}_{ijt} + \beta_3 \text{MarketToBook}_{ijt} \\
& + \beta_4 \text{LeveragePost}_{ijt} + \beta_5 \text{Age}_{ijt} + \text{YearFE} + \text{IndustryFE} + \varepsilon_{ijt}.
\end{aligned} \tag{5}$$

Dependent variables.

BHAR12, BHAR24, BHAR36,

where each variable is the buy-and-hold market-adjusted return over 12, 24, or 36 months after the IPO, excluding the first month.

Interpretation.

- Poor post-IPO returns are consistent with lower-quality firms going public or with investors overpaying for promotion-period listings.
- The paper finds strong underperformance for non-state promotion-period IPOs.

3.6 Ownership retained by the controlling shareholder

The ownership regression is:

$$\begin{aligned}
\text{Ownership}_{ijt} = & \alpha + \beta_1 \text{Promotion}_{jt} + \beta_2 \text{FirmSize}_{ijt} + \beta_3 \text{SalesGrowth}_{ijt} \\
& + \beta_4 \text{Leverage}_{ijt} + \beta_5 \text{Age}_{ijt} + \beta_6 \text{ShanghaiExchange}_{ijt} \\
& + \beta_7 \text{Underpricing}_{ijt} + \text{YearFE} + \text{IndustryFE} + \varepsilon_{ijt}.
\end{aligned} \tag{6}$$

Interpretation.

- If controlling shareholders list earlier than optimal, they may sell fewer shares and retain a larger ownership stake.

- This pattern is especially relevant for non-state firms because original owners can minimize dilution from a politically timed IPO.

3.7 Switching the use of IPO proceeds

The proceeds-use test is a logit model:

$$\begin{aligned} \mathbb{P}(\text{Switch}_{ijt} = 1) = \text{Logit}\{ & \alpha + \beta_1 \text{Promotion}_{jt} + \beta_2 \text{FirmSizePost}_{ijt} + \beta_3 \text{MarketToBook}_{ijt} \\ & + \beta_4 \text{LeveragePost}_{ijt} + \beta_5 \text{Age}_{ijt} + \beta_6 \text{Proceeds}_{ijt} \\ & + \beta_7 \text{GDPGrowth}_{jt} + \beta_8 \text{MarketDevelopment}_j + \text{YearFE} + \text{IndustryFE}\}. \end{aligned} \quad (7)$$

Dependent variable.

- $\text{Switch}_{ijt} = 1$ if the company changes the intended use of IPO proceeds within three years after the IPO from the use stated in the prospectus.

Interpretation.

- A positive β_1 supports the view that promotion-period IPOs are rushed, weakly planned, or designed to obscure the true intended use of proceeds.

3.8 Political demotion placebo / robustness specification

To address the concern that promotions merely capture strong provincial performance, the authors add political demotions:

$$\begin{aligned} h(t) = h_0(t) \exp\{ & \alpha + \beta_1 \text{Promotion}_{jt} + \beta_2 \text{Demotion}_{jt} + \Gamma' X_{ijt} \\ & + \text{YearFE} + \text{IndustryFE} + \varepsilon_{ijt}\}. \end{aligned} \quad (8)$$

Interpretation.

- Demotions are associated with poor provincial performance and are more sudden.
- If the baseline promotion result were purely a strong-province performance effect, demotions should not predict IPO activity.
- The paper finds demotion periods raise IPO activity for SOEs but not for non-state firms, consistent with direct political control of state assets and a more limited ability of private firms to anticipate demotions.

4 Identification and interpretation (what makes the estimates credible)

4.1 What identifies the promotion effect?

The key empirical comparison is within the population of exchange-eligible firms:

- eligible firms in provinces entering a promotion window are compared with eligible firms in other province-years;
- the model controls for firm fundamentals, provincial GDP growth and wealth, industry fixed effects, and year fixed effects;
- IPO firms leave the risk set after listing, so the model respects the one-time nature of the IPO decision.

The paper therefore asks: holding eligibility, firm quality proxies, industry, year, and provincial economic conditions fixed, are firms more likely to list when a provincial promotion is imminent?

4.2 Why the eligible-firm risk set matters

A simple count of IPOs could confuse promotion effects with the number of firms able to go public. The paper avoids this by constructing the denominator: the set of firms that meet CSRC financial listing requirements.

- This makes the outcome an IPO *choice among eligible firms*, not just the total number of IPOs.
- It also permits direct comparison of state and non-state eligible firms.
- It allows the authors to observe pre-IPO accounting characteristics rather than relying only on prospectus data after firms choose to list.

4.3 Why the cross-sectional heterogeneity matters

The credibility of the interpretation comes from the way treatment effects vary across settings.

- **SOE market-development heterogeneity.** If politicians list SOEs to improve career prospects, the effect should be stronger where market development is more politically salient. That is what Table 5 finds.
- **Private-firm disruption heterogeneity.** If private firms list to use soon-to-be-lost connections, the effect should be stronger when turnover disrupts political networks more. That is what Table 6 finds.
- **Post-IPO quality.** If the IPOs are pulled forward by political incentives, they should look worse after listing. Tables 8–11 support this.

4.4 Alternative interpretations

- **Reverse causality / strong provinces.** Promotions may occur in economically strong provinces, and strong provinces may naturally produce more IPOs. The paper controls for GDP growth and per capita GDP, adds market-development variables, and analyzes demotions.
- **Market-wide IPO waves.** Year fixed effects absorb national IPO booms, freezes, regulatory reforms, and general market sentiment.
- **Firm-quality selection.** Firm controls absorb size, profitability, leverage, growth, and free cash flow. Post-IPO outcomes then show promotion-period firms are not merely better firms listing at good times.

- **Provincial institutions.** Robustness tests include legal system, property rights protection, marketization, trade openness, and the number of exchange-eligible firms in the province.

4.5 Limitations

- The timing of promotions is not randomly assigned. The paper gives strong evidence of political timing, but the design is observational.
- The sample excludes many nonindustrial firms and very large central SOEs, including major bank listings.
- The analysis uses financial eligibility rules and cannot fully observe nonfinancial eligibility or the informal approval process.
- Accounting data in China can be affected by earnings management, related-party transactions, and propping, so post-IPO accounting performance must be interpreted cautiously.
- Promotion events may be anticipated to varying degrees. The National Congress robustness test helps, but exact anticipation dates are unobserved.

5 Tables (readings and takeaways)

5.1 Table 1: Distribution of provincial political promotions

Read: Table 1 lists promotion events by province and year.

- There are **48** provincial-level promotions during 2001–2008.
- Promotion events occur in **25 of 31** provinces, so the treatment is not concentrated in only a few localities.
- Promotion activity is especially high in **2002, 2003**, and **2007**.
- Hainan has the most promotions, with **four** events.

Why it matters. The table supports the idea that promotion windows generate meaningful province-year variation in political incentives.

5.2 Table 2: Exchange-eligible firms and IPO activity

Read: Table 2 constructs the denominator of the IPO decision.

- The sample has **28,152** exchange-eligible firm-years.
- Eligible firm-years are mostly non-state-owned: **22,729** non-state versus **5,423** state-owned.
- There are **440** IPOs among eligible firms: **206** SOE IPOs and **234** non-state IPOs.
- The IPO rate conditional on eligibility is much higher for SOEs: **3.80%** versus **1.03%** for non-state firms.

Table 1

Distribution of provincial-level political promotions by region and year.

This table presents the distribution of political promotion events in China by province and year over the sample period 2001–2008. These provincial promotion events capture political turnover involving the transfer, re-assignment or promotion of either the provincial party secretary or provincial governor to a position with more political power. Political promotions in which the politician has a tenure of less than 1 year in the current position are not included in the sample.

Region	2001	2002	2003	2004	2005	2006	2007	2008	Total
Beijing		1	1				1		3
Tianjin		1							0
Shanghai		1	1						2
Chongqing	1								1
Hebei									0
Shanxi					2		1		3
Neimenggu								1	1
Liaoning				1			2		3
Jilin						1			1
Heilongjiang			1						1
Jiangsu	1						1	1	3
Zhejiang		1					1		2
Anhui				1			2		2
Fujian	1			1			2		2
Jiangxi							1		1
Shandong		1	1						3
Henan			1						1
Hubei	1						2		3
Hunan						1			1
Guangdong		1	1				1		2
Guangxi									0
Hainan	1			1		1			4
Sichuan		1	1						1
Guizhou	1								1
Yunnan	1								1
Shaanxi						1			1
Gansu	1								2
Qinghai			1						1
Ningxia									0
Ningxia									0
Ningxia									0
Xinjiang									0
Total	6	9	8	2	2	5	14	2	48

Table 2

Sample of exchange eligible domestic Chinese industrial firms and related initial public offering (IPO) activity.

Panel A presents our sample of exchange eligible and IPO firms as drawn from China's National Bureau of Statistics (NBS) database over the period 1998 to 2008. The NBS database contains financial and registration information on all domestic industrial companies operating in China with annual sales above 5 million renminbi (RMB). The first set of columns presents the number of industrial firms included in the NBS database in a specific calendar year. The second set of columns documents the number of non-public industrial firms that are eligible for an exchange listing at the start of the respective calendar year over the sample period of 2001–2008. Exchange eligible firms are identified by applying the Chinese Securities Regulatory Commission's (CSRC) historical financial listing requirements to the population of NBS reports firms each year. The third column lists the number of exchange eligible firms that engaged in an initial public offering in a given calendar year. For each category, firms are classified on the basis of corporate ownership (state-owned versus non-state-owned). Panel B shows the distribution of exchange eligible firms and IPO events across China's provinces over our sample period 2001–2008.

Panel A: Sample of NBS firm-years, exchange eligible firm-years, and IPO activity											
Firm-years in NBS database					Firms satisfying CSRC listing requirements					Actual IPO activity among firms satisfying CSRC listing requirements	
Year	Total number of firms	Total number of state-owned firms	Percent state-owned firms	Total number of exchange eligible firms	Percent of total NBS firms	Total number of exchange eligible state firms	Total number of exchange eligible non-state firms	Total number of exchange eligible state firms that go public	Percent of exchange eligible state firms that go public	Total number of exchange eligible non-state firms that go public	Percent of exchange eligible non-state firms that go public
1998	105,030	63,944	100,351	38.75	n/a	n/a	n/a	n/a	n/a	n/a	n/a
1999	161,970	58,710	102,908	36.25	n/a	n/a	n/a	n/a	n/a	n/a	n/a
2000	162,821	50,539	111,905	31.03	n/a	n/a	n/a	n/a	n/a	n/a	n/a
2001	168,965	41,734	126,802	24.69	0.96	0.08	6.16	1,011	6.47	9	0.89
2002	181,498	36,626	144,224	20.15	1.00	0.02	1,338	4.0	4.7	12	0.90
2003	196,385	30,071	165,686	15.31	2.229	1.19	653	1.676	31	47.5	81.61
2004	279,013	23,033	246,439	11.48	2.421	0.87	566	1.861	34	59.0	83.63
2005	271,785	22,494	248,787	8.28	2.873	1.06	545	2,328	6	1.00	6.26
2006	301,063	10,975	291,413	6.62	3.772	1.25	646	3,132	16	2.49	3.76
2007	336,095	15,342	321,168	4.56	6.277	1.86	829	5,458	23	1.88	28.61
2008	412,383	13,887	395,317	3.37	6.881	1.07	826	6,095	14	1.69	23.23
Total	2,638,008	385,632	2,251,060	14.62	28,152	1.07	4,243	22,729	206	380	46.82
Panel B: Distribution of NBS exchange eligible firm-years and IPO activity across China's provinces											
Total sample of exchange eligible firm-years					State-owned firms				Non-state-owned firms		
Province	Number of firms	Number of IPO	Percentage	Number of firms	Number of IPO	Percentage	Number of firms	Number of IPO	Percentage	Number of firms	Percentage
Beijing	894	21	2.35	209	15	7.18	685	6	0.88		
Tianjin	772	7	0.91	91	6	6.59	681	1	0.15		
Shanghai	2,854	17	0.60	238	8	3.36	2,616	9	0.34		
Chongqing	339	3	0.88	138	1	0.82	201	2	0.90		
Hebei	1,061	10	0.96	390	7	1.79	771	3	0.39		
Shanxi	409	7	1.75	150	6	4.00	259	1	0.40		
Neimenggu	331	4	1.21	79	4	5.06	252	0	0.00		
Liaoning	1,246	6	0.48	264	3	1.47	1,062	3	0.29		
Jilin	331	6	1.81	85	5	5.88	246	1	0.41		
Heilongjiang	432	1	0.23	123	1	0.81	309	0	0.00		
Jiangsu	3,326	46	1.25	491	15	3.03	2,835	29	0.96		
Zhejiang	2,538	65	2.23	298	6	2.01	2,240	59	2.25		
Anhui	565	24	4.75	177	17	9.60	388	7	1.21		
Fujian	1,273	39	1.97	188	8	4.26	1,085	12	1.11		
Jiangxi	305	11	3.60	90	8	8.00	215	3	1.48		
Shandong	1,777	32	1.80	347	15	4.32	1,430	17	1.19		
Henan	1,031	15	1.43	326	10	3.07	705	5	0.71		

- IPO activity shifts away from SOEs over time: SOEs are **81.63%** of eligible IPOs in 2001 but only **21.21%** in 2008.

Why it matters. China's IPO market is changing rapidly during the sample, so the regressions need year effects and separate state/non-state analyses.

5.3 Table 3: Characteristics of exchange-eligible firms

Read: Table 3 describes the eligible firm-year sample.

- About **37.0%** of eligible firm-years are in a promotion period.
- State-owned firms are larger, more levered, less profitable, more labor intensive, lower growth, and lower free-cash-flow than non-state firms.
- The sample is not a population of all firms. It is a selected group of large and profitable firms that satisfy listing criteria.

Why it matters. State and non-state firms differ substantially, so separate estimations are needed.

5.4 Table 4: Baseline promotion effect on IPO hazard

Read: Table 4 estimates the main Cox hazard model.

- The coefficient on Promotion is **0.501** for the full sample, significant at the 1% level.
- For state-owned firms, the coefficient is **0.314**, significant at the 5% level.
- For non-state-owned firms, the coefficient is **0.555**, significant at the 1% level.
- Translated into hazard ratios, these are roughly **65%**, **37%**, and **74%** higher IPO hazards.

Other coefficients.

- More profitable, more levered, faster-growing, and more labor-intensive firms are more likely to IPO.

Table 3
Descriptive statistics on sample of exchange eligible Chinese industrial firms.
Panel A presents descriptive statistics on a sample of 28,152 exchange eligible firm-year observations drawn from China's National Bureau of Statistics (NBS) database on Chinese industrial companies. Firm Size is the firm's total assets (in millions of renminbi (RMB)). Labor Intensity is the natural logarithm of one plus the ratio of the firm's total number of employees to total sales (in millions of renminbi (RMB)). Return on Sales is income scaled by total revenue. Leverage is the ratio of the firm's total debt to total assets. Sales Growth is one-year growth in total revenue, and Free Cash Flow is the firm's cash flow from operations minus capital expenditures scaled by total assets. All variables are measured at the end of the preceding year, and defined in the Table A1. The superscript (b) indicates that the difference in mean (median) indicates between state-owned firms and non-state-owned firms is significant at the 1% level of significance using a two-tailed Wilcoxon test of medians. Panel B presents Spearman correlations between these firm-level characteristics and three provincial attributes, Growth in GDP, Per Capita GDP, and the extent the province has granted pro-market development policies by the central government (Market Development). Two-sided p-values are presented in parentheses.

Variable	Pooled Sample (N=28,152)		State-Owned Firms (N=5,423)		Non-State-Owned Firms (N=22,729)	
	Mean	Median	Mean	Median	Mean	Median
Promotion	0.379	0.000	0.359	0.000	0.379*	0.000*
Firm Size	1,543.26	452.16	2,292.26	939.55	869.11*	393.45*
Labor Intensity	2.598	1.822	3.480	2.509	2.307*	1.762*
Return on Sales	0.385	0.063	0.303	0.074	0.396*	0.080*
Leverage	0.482	0.497	0.536	0.538	0.454*	0.487*
Sales Growth	0.373	0.159	0.354	0.142	0.378*	0.163*
Free Cash Flow	0.129	0.508	0.108	0.080	0.134*	0.112*

Panel B: Correlation matrix										
	1	2	3	4	5	6	7	8	9	10
1. Promotion	1.000									
2. Growth in GDP	-0.127	1.000								
3. Per Capita GDP	0.068	0.154	1.000							
4. Firm Size	0.000	0.000	-0.106	1.000						
5. Labor Intensity	0.007	0.001	0.001	-0.124	1.000					
6. Return on Sales	0.007	0.002	0.000	-0.073	-0.063	1.000				
7. Leverage	0.001	0.029	-0.050	0.303	-0.020	-0.360	1.000			
8. Sales Growth	0.001	0.000	0.000	0.000	0.001	0.000	0.112	1.000		
9. Free Cash Flow	-0.006	0.076	0.006	0.054	-0.174	0.039	0.031	-0.127	1.000	
10. SOE	-0.001	0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000	1.000
11. Market Development	0.124	-0.093	0.455	-0.096	-0.077	-0.011	-0.058	-0.042	0.031	-0.368

Table 4
Impact of impending political promotions on initial public offering (IPO) activity.
This table presents select coefficients from various estimations of the following hazard model for the IPO listing decisions for a sample of exchange eligible firm-year observations drawn over the sample period 2001–2008:

$$h(t) = h_0(t) \exp(\beta_1 \text{Promotion}_{it} + \beta_2 \text{Growth in GDP}_i + \beta_3 \text{Per Capita GDP}_i + \beta_4 \text{Firm Size}_{it} + \beta_5 \text{Labor Intensity}_{it} + \beta_6 \text{Return on Sales}_{it} + \beta_7 \text{Leverage}_{it} + \beta_8 \text{Sales Growth}_{it} + \beta_9 \text{Free Cash Flow}_{it} + \beta_{10} \text{Industry MTB}_i + \beta_{11} \text{SOE}_{it} + \text{Annual Indicators} + \text{Industry Indicators} + \epsilon_{it})$$

In this model, the dependent variable is the firm's decision to engage in an IPO in year t . The indicator variable Promotion_{it} equals one if year t corresponds to the year prior to or the year of a political promotion event in province j , and zero otherwise. Growth in GDP_i and Per Capita GDP_i measure the growth in and level of province j 's gross domestic product in year t , respectively. Firm Size_{it} is natural logarithm of the firm's total assets, Labor Intensity_{it} is the natural logarithm of one plus the ratio of the firm's total number of employees to total sales (in millions of renminbi (RMB)). Return on Sales_{it} is net income scaled by total revenue. Leverage_{it} is the ratio of the firm's total debt to total assets. Sales Growth_{it} is the one-year growth in total assets, and Free Cash Flow_{it} is the firm's cash flow from operations minus capital expenditures scaled by total assets in year t . SOE_{it} is an indicator variable equal to one if the firm is a state-owned entity. Industry MTB_{it} is the industry median market-to-book ratio for firm i at the beginning of year t . All firm-level independent variables are measured at the end of the preceding year. All models include an array of annual and industrial fixed effects. Standard errors are clustered at the firm level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level, respectively, using a two-tailed test.

Variable	Full sample (N=28,152)		State-owned firms (N=5,423)		Non-state-owned firms (N=22,729)	
	(1)	(2)	(1)	(2)	(1)	(2)
Promotion	–	0.501*** (4.832)	–	0.314** (2.194)	–	0.555*** (3.594)
Growth in GDP	–5.871*** (–4.474)	–5.814*** (–4.477)	–7.196*** (–4.279)	–6.822*** (–4.064)	–1.376 (–0.677)	–1.972 (–0.943)
Per Capita GDP	–0.295*** (–3.425)	–0.373*** (–4.279)	–0.451*** (–3.150)	–0.561*** (–3.542)	–0.083 (–0.683)	–0.180 (–1.367)
Firm Size	–0.700*** (–10.342)	–0.704*** (–10.524)	–0.892*** (–8.567)	–0.815*** (–8.797)	–0.649*** (–6.959)	–0.637*** (–6.966)
Labor Intensity	0.383*** (7.104)	0.369*** (6.803)	0.239*** (2.881)	0.231*** (2.761)	0.382*** (5.572)	0.374*** (5.434)
Return on Sales	6.070*** (13.018)	6.178*** (13.247)	5.145*** (7.588)	5.216*** (7.676)	6.857*** (10.750)	6.857*** (10.744)
Leverage	–13.402*** (13.402)	–13.281*** (13.281)	–9.079*** (7.557)	–9.968*** (7.554)	–1.630*** (10.861)	–1.623*** (10.670)
Sales Growth	1.305*** (7.203)	1.265*** (6.998)	0.898*** (3.573)	0.881*** (3.525)	1.554*** (6.649)	1.555*** (6.862)
Free Cash Flow	–1.357*** (–4.800)	–1.368*** (–4.788)	–0.970*** (–2.278)	–0.968*** (–2.251)	–1.630*** (–4.120)	–1.623*** (–4.096)
Industry MTB	0.360** (2.059)	0.310* (1.791)	0.259 (1.093)	0.234 (0.995)	0.307 (1.113)	0.284 (1.046)
SOE	1.280*** (13.031)	1.284*** (13.131)	–	–	–	–
Annual Indicators	Included	Included	Included	Included	Included	Included
Industry Indicators	Included	Included	Included	Included	Included	Included
Wald chi-squared (p-value)	1085 (0.000)	1109 (0.000)	453.2 (0.000)	454.3 (0.000)	403.9 (0.000)	415.3 (0.000)
Pseudo r-squared	0.0947	0.0972	0.0887	0.0900	0.0811	0.0842

- Firms with more free cash flow are less likely to IPO.
- Smaller firms are more likely to IPO conditional on meeting listing criteria, consistent with external financing needs.

Why it matters. The paper's first core fact is that promotion periods predict IPO timing even after controlling for standard IPO determinants.

5.5 Table 5: Market-development orientation

Read: Table 5 interacts promotion timing with pre-sample provincial market-development orientation.

- Non-state firms are generally more likely to IPO in provinces with stronger market-development institutions.
- For state-owned firms, the Promotion $\times$ MarketDevelopment interaction is positive: **0.346**, significant at the 10% level.
- For non-state firms, the interaction is not significant.

Interpretation.

- The SOE result supports the politician-career story: if a province is more market-oriented, officials likely have stronger incentives to demonstrate market-development performance by listing state firms.
- The non-state result supports the connection-loss story: private firms need political access in many provinces, not only in high-market-development provinces.

Table 5

Impact of impending political promotions and initial public offering (IPO) activity conditional upon prevailing provincial-level economic objectives.
This table presents select coefficients from various estimations of the following hazard model for the IPO listing decisions for a sample of exchange eligible firm-year observations drawn over the sample period 2001 to 2008:

$$h(t) = h_0(\text{Exp}(\alpha + \beta_1 \text{Promotion}_{it} + \beta_2 \text{Promotion}_{it} \times \text{Market Development}_{it} + \beta_3 \text{Market Development}_{it} + \beta_4 \text{Growth in GDP}_{it} + \beta_5 \text{Per Capita GDP}_{it} + \beta_6 \text{Firm Size}_{it} + \beta_7 \text{Labor Intensity}_{it} + \beta_8 \text{Return on Sales}_{it} + \beta_9 \text{Leverage}_{it} + \beta_{10} \text{Sales Growth}_{it} + \beta_{11} \text{Free Cash Flow}_{it} + \beta_{12} \text{Industry MTB}_{it} + \beta_{13} \text{SOE}_{it} + \text{Annual Indicators} + \text{Industry Indicators} + \epsilon_{it}))$$

In this model, the dependent variable is the firm's decision to engage in an IPO in year t . The indicator variable Promotion_{it} equals one if year t corresponds to the year prior to or the year of a political promotion event in province j , and zero otherwise. $\text{Market Development}_{it}$ measures the amount of preferential treatments and exemptions granted to province j by the central government to set up special economic zones. $\text{Growth in GDP}_{it}$ and $\text{Per Capita GDP}_{it}$ measure the growth in level of province j 's gross domestic product in year t , respectively. Firm Size_{it} is the natural logarithm of the firm's total assets, $\text{Labor Intensity}_{it}$ is the natural logarithm of one plus the ratio of the firm's total number of employees to total sales (in millions of renminbi (RMB)). $\text{Return on Sales}_{it}$ is net income scaled by total revenue. Leverage_{it} is the ratio of the firm's total debt to total assets. Sales Growth_{it} is the one-year growth in total assets, and $\text{Free Cash Flow}_{it}$ is the firm's cash flow from operations minus capital expenditures scaled by total assets in year t . SOE_{it} is an indicator variable equal to one if the firm is a state-owned entity. Industry MTB_{it} is the industry median market-to-book ratio for firm i at the beginning of year t . All firm-level independent variables are measured at the end of the preceding year. All models include an array of annual and industrial fixed effects. Standard errors are clustered at the firm level. ***, **, and * denote statistical significance at the 1%, 5% and 10% level, respectively, using a two-tailed test.

Variable	Full sample (N=28,152)		State-owned firms (N=5,423)		Non-state-owned firms (N=22,729)	
	(1)	(2)	(1)	(2)	(1)	(2)
Promotion	0.493*** (4.746)	0.295 (1.021)	0.320** (2.232)	-0.026 (-0.110)	0.529*** (3.416)	0.700** (2.368)
Promotion×Market Development	-	0.148 (1.372)	-	0.346* (1.911)	-	-0.107 (-0.685)
Market Development	0.181*** (2.720)	0.106 (1.221)	-0.172 (-1.491)	-0.353** (-2.244)	0.330*** (3.702)	0.382*** (3.388)
Growth in GDP	-5.185*** (-3.887)	-5.582*** (-4.103)	-7.355*** (-4.284)	-7.845*** (-4.416)	-0.259 (-0.291)	-0.229 (-0.128)
Per Capita GDP	-0.516*** (-4.685)	-0.495*** (-4.477)	-0.370*** (-2.261)	-0.337*** (-2.050)	-0.403*** (-2.465)	-0.447*** (-2.552)
Firm Size	-0.692*** (-10.313)	-0.693*** (-10.320)	-0.828*** (-8.990)	-0.836*** (-9.067)	-0.619*** (-6.746)	-0.621*** (-6.765)
Labor Intensity	0.364*** (6.731)	0.363*** (6.727)	0.222*** (2.651)	0.221*** (2.629)	0.349*** (5.067)	0.349*** (5.081)
Return on Sales	6.150*** (13.371)	6.136*** (13.353)	5.158*** (7.473)	5.171*** (7.497)	6.681*** (10.418)	6.713*** (10.438)
Leverage	3.301*** (13.335)	3.307*** (13.379)	2.715*** (7.533)	2.747*** (7.672)	3.578*** (10.626)	3.588*** (10.668)
Sales Growth	1.208*** (7.175)	1.202*** (7.120)	0.836*** (3.213)	0.818*** (3.127)	1.551*** (5.888)	1.560*** (5.922)
Free Cash Flow	-1.346 (-4.732)	-1.330*** (-4.676)	-0.981*** (-2.282)	-0.975*** (-2.280)	-1.564*** (-3.961)	-1.583*** (-3.985)
Industry MTB	0.297* (1.719)	0.294* (1.702)	0.254 (1.072)	0.230 (0.961)	0.291 (1.066)	0.288 (1.052)
SOE	1.307*** (13.498)	1.309*** (13.507)	-	-	-	-
Annual Indicators	Included	Included	Included	Included	Included	Included
Industry Indicators	Included	Included	Included	Included	Included	Included
Wald chi-squared (p-value)	1142.0 (0.000)	1143.0 (0.000)	456.2 (0.000)	447.4 (0.000)	434.5 (0.000)	434.0 (0.000)
Pseudo r-squared	0.0981	0.0983	0.0906	0.0916	0.0874	0.0875

Table 6

Impact of impending political promotions and initial public offering (IPO) activity conditional upon the expected disruption in political connections.
This table presents select coefficients from various estimations of the following hazard model for the IPO listing decisions for a sample of exchange eligible firm-year observations drawn over the sample period 2001–2008:

$$h(t) = h_0(\text{Exp}(\alpha + \beta_1 \text{Promotion}_{it} + \beta_2 \text{Promotion}_{it} \times \text{Expected Disruption}_{it} + \beta_3 \text{Growth in GDP}_{it} + \beta_4 \text{Per Capita GDP}_{it} + \beta_5 \text{Firm Size}_{it} + \beta_6 \text{Labor Intensity}_{it} + \beta_7 \text{Return on Sales}_{it} + \beta_8 \text{Sales Growth}_{it} + \beta_9 \text{Free Cash Flow}_{it} + \beta_{10} \text{Industry MTB}_{it} + \beta_{11} \text{SOE}_{it} + \text{Annual Indicators} + \text{Industry Indicators} + \epsilon_{it}))$$

In this model, the dependent variable is the firm's decision to engage in an IPO in year t . The indicator variable Promotion_{it} equals one if year t corresponds to the year prior to or the year of a political promotion event in province j , and zero otherwise. The variable $\text{Expected Disruption}_{it}$ reflects one of three empirical proxies for the expected impact that the promotion event has on political connections: whether the promoted politician remains in the province (Remain_{it}), whether the politician's successor is elevated from within or outside the province (Internal_{it}), and the length of tenure of the promoted official in his current position (Tennure_{it}). The indicator variable Remain_{it} equals one if the politician is promoted from provincial governor to party secretary in the same province, and zero otherwise. The indicator variable Internal_{it} equals one if the politician's successor is elevated from the affected province, and zero otherwise. Tennure_{it} is the natural logarithm of the number of years the politician served in his current position. $\text{Growth in GDP}_{it}$ and $\text{Per Capita GDP}_{it}$ measure the growth in level of province j 's gross domestic product in year t , respectively. Firm Size_{it} is the natural logarithm of the firm's total assets, $\text{Labor Intensity}_{it}$ is the natural logarithm of one plus the ratio of the firm's total number of employees to total sales (in millions of renminbi (RMB)). $\text{Return on Sales}_{it}$ is net income scaled by total revenue. Leverage_{it} is the ratio of the firm's total debt to total assets. Sales Growth_{it} is the one-year growth in total assets, and $\text{Free Cash Flow}_{it}$ is the firm's cash flow from operations minus capital expenditures scaled by total assets in year t . SOE_{it} is an indicator variable equal to one if the firm is a state-owned entity. Industry MTB_{it} is the industry median market-to-book ratio for firm i at the beginning of year t . All firm-level independent variables are measured at the end of the preceding year. All models include an array of annual and industrial fixed effects. Standard errors are clustered at the firm level. ***, **, and * denote statistical significance at the 1%, 5% and 10% level, respectively, using a two-tailed test.

	Full sample (N=28,152)	State-owned firms (N=5,423)	Non-state-owned firms (N=22,729)
Panel A: Departure of politician			
Promotion	0.694*** (4.991)	0.375** (2.310)	0.855*** (4.536)
Promotion×Remain	-	-0.511*** (-3.152)	-0.164 (-0.712)
Panel B: Internal vs. External Successor			
Promotion	0.531*** (4.991)	0.203 (1.271)	0.649*** (4.255)
Promotion×Internal	-	-0.199 (-1.073)	-0.588*** (-2.664)
Panel C: Length of tenure in office			
Promotion	-0.815* (-1.753)	-0.813 (-1.273)	-1.014 (-1.278)
Promotion×Tennure	0.820*** (2.991)	0.745* (1.842)	0.938*** (2.127)

5.6 Table 6: Expected disruption of political connections

Read: Table 6 asks whether the promotion effect is weaker when the promotion disrupts political networks less.

- **Remain in province.** For non-state firms, $\text{Promotion} \times \text{Remain} = -0.744$, significant at the 1% level. If the official remains in the province, private-firm IPO acceleration is weaker.
- **Internal successor.** For non-state firms, $\text{Promotion} \times \text{Internal} = -0.988$, significant at the 1% level. If the successor is internal, political connections are less disrupted and private firms have less need to rush.
- **Long tenure.** For non-state firms, $\text{Promotion} \times \text{Tennure} = 0.938$, significant at the 5% level. Longer-serving officials have deeper connections, so departure creates larger disruption.
- For SOEs, the internal-successor interaction is positive, consistent with state listings being used to facilitate political transition or support the incoming official.

Why it matters. Table 6 is one of the strongest pieces of mechanism evidence. The effect moves exactly where the political-connection story predicts.

5.7 Table 7: Pre-offering characteristics of IPO firms

Read: Table 7 compares promotion-period and non-promotion-period IPO firms before the offering.

- Promotion-period IPO firms are more levered: **0.552** versus **0.529** for all IPOs.
- They have lower investment: **0.007** versus **0.020**.
- They have higher free cash flow: **0.114** versus **0.091**.
- They receive more subsidies: **0.009** versus **0.005**.

- Among non-state firms, promotion-period IPO firms are less profitable and more levered.

Interpretation. Promotion-period firms do not look like firms urgently needing external capital for high-quality investment. This supports the idea that political timing affects listing decisions.

Table 7

Pre-offering financial characteristics of promotion-period and non-promotion-period initial public offering (IPO) firms.

This table presents descriptive statistics on our sample of 440 Chinese domestic industrial firms that engaged in an initial public offering over the period 2001–2008, conditional upon whether the timing of the offering occurred in the year preceding a provincial-level political promotion event. Firm Size is natural logarithm of the firm's total assets. Return on Sales is net income scaled by total revenue. Leverage is the ratio of the firm's total debt to total assets. Cash Flow Operations is the firm's operating cash flow scaled by total assets. Investment is the firm's level of capital expenditures scaled by total assets. Free Cash Flow is the firm's cash flow from operations minus capital expenditures scaled by total assets. Sales Growth is one-year growth in total revenue, and Subsidies is the total amount of subsidy income received by the firm scaled by total revenue. All variables are measured in the year before the initial public offering and defined in Table A1. Data on government subsidies are available only for 264 IPO firms (114 state-owned; 150 non-state-owned firms). ***, **, and * indicate that the difference in mean realizations between promotion-period and non-promotion-period IPO firms is significantly different from each other at the 1%, 5%, and 10% level of significance, respectively, using a *t*-test of means.

Variable	All IPOs			IPO's state-owned firms			IPO's non-state-owned firms		
	Promotion	Non-promotion	Difference	Promotion	Non-promotion	Difference	Promotion	Non-promotion	Difference
Firm Size	13.099	13.140	-0.041	13.389	13.394	-0.005	12.892	12.881	0.012
Return on Sales	0.133	0.117	-0.005	0.134	0.128	0.006	0.132	0.147	-0.015*
Leverage	0.552	0.529	0.023**	0.557	0.542	0.015	0.548	0.515	0.033**
Cash Flow Operations	0.146	0.162	-0.016	0.165	0.174	-0.009	0.133	0.151	-0.018
Investment	0.007	0.020	-0.013**	-0.002	0.016	-0.018**	0.013	0.024	-0.010
Free Cash Flow	0.114	0.091	0.023**	0.122	0.080	0.042**	0.108	0.102	0.006
Sales Growth	0.245	0.218	0.027	0.204	0.202	0.002	0.274	0.235	0.039
Subsidies	0.009	0.005	0.004*	0.010	0.003	0.007*	0.009	0.007	0.002
Number of IPOs	185	255		77	129		108	126	

Table 8

Post-IPO financial performance of Chinese IPOs conditional upon the offering's proximity to impending political promotion event.

This table presents evidence on the post-IPO performance of Chinese industrial IPOs conditional upon the timing of the offering. Panel A presents mean performance statistics. Panel B presents select coefficients from various estimations of the following cross-sectional model:

$$\text{Firm Performance}_{it} = \alpha + \beta_1 \text{Promotion}_{it} + \beta_2 \text{Firm Size}_{it} + \beta_3 \text{Scaled Proceeds}_{it} + \beta_4 \text{Leverage}_{it} + \beta_5 \text{Market-to-Book}_{it} + \beta_6 \text{Age}_{it} + \text{Annual Indicators} + \text{Industry Indicators} + \varepsilon_{it}$$

In this model, the dependent variable captures a measure of firm performance following the firm's initial public offering. These measures include the three-year average return on sales, three-year growth in revenue, and three-year growth in earnings. The indicator variable *Promotion*, equal one if year *t* corresponds to the year prior to the year of a political promotion event, is zero, one, and zero otherwise. Firm Size is natural logarithm of the firm's total assets. Scaled Proceeds is the ratio of proceeds raised in the IPO scaled by total assets prior to the offering. Market-to-Book is the natural logarithm of plus the ratio of the firm's market value of equity scaled by book value of equity. Leverage is the change in firm's total debt to total assets around the IPO, and Age is the natural logarithm of the number of years since the firm was incorporated. All independent variables are measured at the end of the year of the offering (i.e., post-IPO). All variables are defined in Table A1. All models include an array of annual and industrial fixed effects. ***, **, and * denote statistical significance at the 1%, 5% and 10% level, respectively, using a two-sided test.

	All IPOs (N=440)			State-owned IPOs (N=206)			Non-state-owned IPOs (N=234)		
	Return on Sales	Sales Growth	Earnings Growth	Return on Sales	Sales Growth	Earnings Growth	Return on Sales	Sales Growth	Earnings Growth
Non-promotion period (NP)	0.091	1.653	0.942	0.078	1.607	0.799	0.103	1.700	1.087
Promotion period (P)	0.097	1.518	0.912	0.089	1.490	0.822	0.103	1.574	0.976
Difference (P - NP) (<i>t</i> -statistic)	0.006 (0.87)	-0.115 (-0.88)	-0.030 (-0.13)	0.011 (0.91)	-0.117 (-0.81)	0.023 (0.06)	0.000 (0.01)	-0.126 (-0.72)	-0.111 (-0.43)

	All IPOs (N=440)			State-owned IPOs (N=206)			Non-state-owned IPOs (N=234)		
	Return on Sales	Sales Growth	Earnings Growth	Return on Sales	Sales Growth	Earnings Growth	Return on Sales	Sales Growth	Earnings Growth
Promotion	-0.006 (-0.855)	-0.340** (-2.643)	-0.383* (-1.851)	0.007 (0.885)	-0.285 (-1.473)	-0.020** (-1.594)	-0.401*** (-2.270)	-0.401*** (-2.108)	-0.558** (-2.108)
Firm Size (Post)	0.023*** (3.789)	0.078 (0.861)	0.312*** (3.846)	0.033*** (5.686)	0.093 (0.803)	0.047*** (3.591)	0.017** (2.011)	0.002 (0.01)	0.324 (1.379)
Scaled Proceeds	0.046*** (3.530)	0.008*** (4.014)	0.046*** (4.457)	0.040*** (3.681)	0.047*** (3.708)	0.047*** (3.591)	0.020*** (2.011)	0.020*** (2.011)	0.020*** (2.011)
Leverage	-0.330*** (-3.267)	2.250*** (4.531)	0.419 (0.238)	-0.281*** (-2.962)	2.212*** (3.323)	0.073 (0.773)	-0.207*** (-4.467)	-0.207*** (-4.467)	-0.207*** (-4.467)
Market-to-Book	(-1.245)	(0.533)	(0.238)	(-1.245)	(0.533)	(0.773)	(-1.245)	(0.533)	(0.773)
Age	0.001 (0.003)	0.001 (0.003)	0.001 (0.003)	0.001 (0.003)	0.001 (0.003)	0.001 (0.003)	0.001 (0.003)	0.001 (0.003)	0.001 (0.003)
Constant	-0.401*** (-4.540)	-0.401*** (-4.540)	-0.401*** (-4.540)	-0.401*** (-4.540)	-0.401*** (-4.540)	-0.401*** (-4.540)	-0.401*** (-4.540)	-0.401*** (-4.540)	-0.401*** (-4.540)
Annual Indicators	Included	Included	Included	Included	Included	Included	Included	Included	Included
Industry Indicators	Included	Included	Included	Included	Included	Included	Included	Included	Included
Adjusted <i>R</i> -squared	0.375	0.356	0.099	0.375	0.356	0.118	0.358	0.350	0.099

5.8 Table 8: Post-IPO financial performance

Read: Table 8 studies accounting performance after the IPO.

- Unconditionally, promotion-period and non-promotion-period IPOs do not differ much in mean post-IPO performance.
- After controlling for post-offering characteristics, promotion-period IPOs have weaker sales growth and earnings growth in the full sample.
- The negative result is concentrated among non-state firms:
 - promotion coefficient on post-IPO return on sales: **-0.020**, significant at the 5% level;
 - promotion coefficient on post-IPO sales growth: **-0.401**, significant at the 5% level;
 - promotion coefficient on post-IPO earnings growth: **-0.558**, significant at the 5% level.

Why it matters. The non-state firms that rush to market before political turnover appear to be lower-quality IPO candidates.

5.9 Table 9: Post-IPO stock returns

Read: Table 9 examines buy-and-hold market-adjusted returns after listing.

- For all IPOs, promotion-period IPOs underperform non-promotion IPOs by **14.9 percentage points** over 12 months and **13.1 percentage points** over 24 months.
- Among non-state firms, the underperformance is larger: **23.0 percentage points** over 12 months and **24.7 percentage points** over 24 months.
- In multivariate regressions for non-state firms, the promotion coefficients are **-0.154** for BHAR12, **-0.200** for BHAR24, and **-0.170** for BHAR36.

- For SOEs, post-IPO returns are weak overall, but the promotion-period difference is not significant.

Interpretation. Promotion-period private IPOs are not just politically timed; investors also experience worse long-run performance after these offerings.

Table 9
Post-IPO stock price performance of Chinese IPOs conditional upon the offering's proximity to impending political promotion event.
This table presents evidence on the post-IPO performance of Chinese industrial IPOs conditional upon the timing of the offering. Panel A presents mean long-run market-adjusted return. Panel B presents select coefficients from various estimations of the following cross-sectional model:

$$\text{Market-adjusted Return}_{it} = \alpha + \beta_1 \text{Promotion}_{it} + \beta_2 \text{Firm Size}_{it} + \beta_3 \text{Sales Growth}_{it} + \beta_4 \text{Leverage}_{it} + \beta_5 \text{Age}_{it} + \beta_6 \text{Shanghai Exchange}_{it} + \beta_7 \text{Underpricing}_{it} + \text{Annual Indicators} + \text{Industry Indicators} + \varepsilon_{it}$$

In this model, the dependent variable captures one-, two-, and three-year buy-and-hold, market-adjusted stock return performance following the firm's initial public offering, conditional upon whether the firm's IPO occurred in the year preceding a provincial level political promotion event. The indicator variable *Promotion_{it}* equals one if year *t* corresponds to the year prior to or the year of a political promotion event in province *j*, and zero otherwise. Firm Size is natural logarithm of the firm's total assets. Market-to-book is the ratio of the firm's market value of equity valued by book value of equity. Leverage is the ratio of the firm's total debt to total assets, and Age is the natural logarithm of the number of years since the firm was incorporated. All independent variables are measured at the end of the year of the offering (i.e., post-IPO). All variables are defined in the Table A1. All models include an array of annual and industrial fixed effects. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level, respectively, using a two-tailed test.

Panel A: Market-adjusted return conditional upon timing of IPO

	All IPOs (N=440)			State-owned IPOs (N=206)			Non-state-owned IPOs (N=234)		
	BHAR12	BHAR24	BHAR36	BHAR12	BHAR24	BHAR36	BHAR12	BHAR24	BHAR36
Non-promotion period (NP)	-0.033	-0.025	-0.074	-0.072	-0.087	-0.113	0.007	0.038	-0.034
Promotion period (P)	-0.182	-0.156	-0.125	-0.123	-0.083	-0.060	-0.223	-0.209	-0.172
Difference (P - NP) (t-statistic)	-0.149	-0.131	-0.051	-0.051	0.006	0.053	-0.231	-0.247	-0.138
	(-4.69)***	(-3.81)***	(-0.97)	(-1.21)	(-0.07)	(0.97)	(-3.35)***	(-3.18)***	(-1.83)*

Panel B: Multivariate analysis of future return performance

	All IPOs (N=440)			State-owned IPOs (N=206)			Non-state-owned IPOs (N=234)		
	BHAR12	BHAR24	BHAR36	BHAR12	BHAR24	BHAR36	BHAR12	BHAR24	BHAR36
Promotion	-0.118***	-0.099***	-0.075	-0.057	-0.026	0.019	-0.154***	-0.200***	-0.170*
	(-3.182)	(-2.124)	(-1.770)	(-1.285)	(-0.490)	(0.240)	(-3.711)	(-2.881)	(-1.886)
Firm Size (Post)	0.052***	0.068***	0.071**	0.054***	0.101***	0.098***	0.056*	0.037	0.034
	(2.861)	(3.363)	(2.387)	(2.744)	(3.760)	(3.786)	(1.761)	(1.346)	(0.267)
Market-to-book	0.039**	0.084	0.074	0.093	0.069	0.079	0.093	0.151	0.163
	(2.064)	(1.673)	(0.967)	(1.846)	(1.660)	(1.911)	(1.761)	(3.417)	(1.126)
Leverage (Post)	-0.101***	-0.419***	-0.607***	-0.213**	-0.467***	-0.309	-0.499***	-0.481***	-0.819***
	(-3.164)	(-3.979)	(-5.067)	(-1.780)	(-3.691)	(-1.240)	(-3.641)	(-3.397)	(-3.747)
Age	-0.006**	-0.019	-0.056	-0.027*	-0.023	-0.078	-0.051	-0.088	-0.047
	(-2.070)	(-1.817)	(-1.555)	(-1.680)	(-0.738)	(-0.830)	(-1.107)	(-1.040)	(-0.640)
Annual Indicators	Included	Included	Included	Included	Included	Included	Included	Included	Included
Industry Indicators	Included	Included	Included	Included	Included	Included	Included	Included	Included
Adjusted R-squared	0.102	0.148	0.093	0.109	0.136	0.126	0.107	0.129	0.094

Table 10
Ownership retained by largest shareholder conditional upon the initial public offering's proximity to impending political promotion.
This table presents select coefficients from various estimations of the following cross-sectional model:

$$\text{Ownership}_{it} = \alpha + \beta_1 \text{Promotion}_{it} + \beta_2 \text{Firm Size}_{it} + \beta_3 \text{Sales Growth}_{it} + \beta_4 \text{Leverage}_{it} + \beta_5 \text{Age}_{it} + \beta_6 \text{Shanghai Exchange}_{it} + \beta_7 \text{Underpricing}_{it} + \text{Annual Indicators} + \text{Industry Indicators} + \varepsilon_{it}$$

The dependent variable, *Ownership_{it}*, is the percentage of ownership retained by the controlling shareholder following the initial public offering (IPO). The indicator variable *Promotion_{it}* equals one if year *t* corresponds to the year prior to or the year of a political promotion event in province *j*, and zero otherwise. Firm Size is natural logarithm of the firm's total assets. Sales Growth is one-year growth in total revenue. Leverage is the ratio of the firm's total debt to total assets, Age is the natural logarithm of the number of years since the firm was incorporated. Shanghai Exchange_{it} is an indicator variable equal to one if the firm listed on the Shanghai Stock Exchange, and Underpricing in the first day raw return to the company's security. All firm-level characteristics variables, except underpricing, are measured at the end of the year before the offering. All variables are defined in Table A1. All models include an array of annual and industrial fixed effects. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level, respectively, using a two-tailed test.

Panel A: Post-IPO ownership

	All IPOs (N=440)		State-owned IPOs (N=206)		Non-state-owned IPOs (N=234)	
	Mean	Median	Mean	Median	Mean	Median
Non-promotion period (NP)	0.418	0.418	0.474	0.488	0.362	0.367
Promotion period (P)	0.419	0.415	0.463	0.462	0.389	0.394
Difference (P - NP) (t-statistic)	0.001	-0.003	-0.011	-0.026	0.027	0.027
	(0.09)	(-0.04)	(-0.51)	(-0.49)	(1.61)	(1.55)

Panel B: Multivariate analysis of post-IPO ownership

	All IPOs (N=440)	State-owned IPOs (N=206)	Non-state-owned IPOs (N=234)
Promotion	-0.007 (-0.437)	-0.028 (-1.241)	0.043* (1.819)
Firm Size	0.040*** (3.417)	0.018 (1.126)	0.047*** (2.672)
Sales Growth	-0.025 (-0.999)	-0.063* (-1.694)	0.009 (0.268)
Leverage	0.050 (0.861)	0.090 (1.082)	-0.025 (-0.311)
Age	-0.049*** (-3.343)	-0.098*** (-4.239)	-0.004 (-0.197)
Shanghai Exchange	(2.210) (0.049)	(1.724) (0.063*)	(-0.628) (-0.021)
Underpricing	-0.002 (-0.255)	-0.023* (-1.730)	0.006 (0.568)
Constant	0.008 (0.049)	0.422* (1.952)	-0.450* (-1.856)
Annual Indicators	Included	Included	Included
Industry Indicators	Included	Included	Included
Adjusted R-squared	0.121	0.147	0.057

5.10 Table 10: Ownership retained by the controlling shareholder

Read: Table 10 studies how much ownership the controlling shareholder keeps after the IPO.

- For non-state firms, promotion-period IPO controlling shareholders retain more ownership: mean **0.389** versus **0.362** outside promotion periods.
- In the multivariate regression, the non-state promotion coefficient is **0.043**, significant at the 10% level.
- There is no comparable significant ownership effect for state-owned firms.

Interpretation. Private controlling shareholders appear to minimize dilution when they list earlier than ideal because of political timing.

5.11 Table 11: Switching IPO proceeds

Read: Table 11 examines whether firms later change how IPO proceeds are used.

- In the full sample, **63.2%** of promotion-period IPOs switch proceeds use versus **53.7%** of non-promotion IPOs.
- Among non-state firms, the numbers are **67.6%** versus **59.1%**.
- In the logit model, the promotion coefficient is **0.548** in the full sample and **0.789** among non-state firms, both significant at the 5% level.

Interpretation. Promotion-period IPOs are more likely to have poorly developed or strategically misleading investment plans.

Table 11
Use of initial public offering (IPO) proceeds conditional upon timing of the IPO.
This table presents select coefficients from various estimations of the following cross-sectional logistic model:

$$\text{Prob}(\text{Switch}_{it} = 1) = \text{Logit}(\alpha + \beta_1 \text{Promotion}_{it} + \beta_2 \text{FirmSize}_{it} + \beta_3 \text{Market-to-Book}_{it} + \beta_4 \text{Leverage}_{it} + \text{Annual Indicators} + \text{Industry Indicators} + \epsilon_{it})$$

The dependent variable, Switch_{it} , is an indicator variable equal one if the company switched the intended use of proceeds specified in offering prospectus within three years after the IPO, and zero otherwise. The indicator variable Promotion_{it} equals one if year t corresponds to the year prior to or the year of a political promotion event in province i , and zero otherwise. Firm Size is natural logarithm of the firm's total assets. Market-to-Book is the ratio of the firm's market value of equity scaled by book value of equity. Leverage is the ratio of the firm's total debt to total assets, and Age is the natural logarithm of the number of years since the firm was incorporated. All independent variables are measured at the end of the year of the offering (i.e., post-IPO). All variables are defined in Table A1. All models include an array of annual and industrial fixed effects. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level, respectively, using a two-tailed test.

Panel A: Percentage of firms that switch the intended use of IPO proceeds after the IPO			
	All IPOs (N=440)	State-owned IPOs (N=206)	Non-state-owned IPOs (N=234)
Non-promotion period (NP)	0.537	0.481	0.591
Promotion period (P)	0.632	0.571	0.676
Difference (P – NP) (chi-squared)	0.095* (3.98)	0.090 (1.59)	0.085 (1.63)
Panel B: Multivariate analysis of post-IPO use of proceeds			
	All IPOs (N=440)	State-owned IPOs (N=206)	Non-state-owned IPOs (N=234)
Promotion	0.548** (2.277)	0.487 (1.321)	0.789** (2.629)
Firm Size (Post)	-0.538 (-1.115)	-0.778 (-1.149)	0.145 (0.144)
Market-to-Book	-0.119 (-1.483)	-0.195 (-1.458)	-0.124 (-1.144)
Leverage (Post)	0.947 (0.761)	0.771 (0.409)	0.116 (0.053)
Age	-0.065 (-0.286)	-0.088 (-0.222)	0.008 (0.027)
Proceeds	0.008 (0.015)	0.057 (0.077)	-0.375 (-0.388)
GDP Growth	-1.425 (-0.704)	-5.854* (-1.683)	1.193 (0.408)
Market Development	-0.146 (-1.102)	-0.147 (-0.642)	-0.160 (-0.872)
Constant	11.696** (2.300)	17.013** (2.439)	14.430 (0.013)
Annual Indicators	Included	Included	Included
Industry Indicators	Included	Included	Included
Pseudo r-squared	0.0484	0.0938	0.0639

Table 12
Impact of impending political demotions on initial public offering (IPO) activity.
This table presents select coefficients from various estimations of the following hazard model for the IPO listing decisions for a sample of exchange eligible firm-year observations drawn over the sample period 2001–2008:

$$h(t) = h_0(\text{Exp}(\alpha + \beta_1 \text{Promotion}_{it} + \beta_2 \text{Demotion}_{it} + \beta_3 \text{Growth in GDP}_{it} + \beta_4 \text{Per Capita GDP}_{it} + \beta_5 \text{Firm Size}_{it} + \beta_6 \text{Labor Intensity}_{it} + \beta_7 \text{Return on Sales}_{it} + \beta_8 \text{Leverage}_{it} + \beta_9 \text{Sales Growth}_{it} + \beta_{10} \text{Free Cash Flow}_{it} + \beta_{11} \text{Industry MTB}_{it} + \beta_{12} \text{SOE}_{it} + \text{Annual Indicators} + \text{Industry Indicators} + \epsilon_{it}))$$

In this model, the dependent variable is the firm's decision to engage in an IPO in year t . The indicator variable Promotion_{it} equals one if year t corresponds to the year prior to or the year of a political promotion event in province i , and zero otherwise. The indicator variable Demotion_{it} equals one if year t corresponds to the year prior to or the year of a political demotion event in province i , and zero otherwise. $\text{Growth in GDP}_{it}$ and $\text{Per Capita GDP}_{it}$ measure the growth in and level of province j 's gross domestic product in year t , respectively. Firm Size_{it} is natural logarithm of the firm's total assets, $\text{Labor Intensity}_{it}$ is the natural logarithm of one plus the ratio of the firm's total number of employees to total sales (in millions of renminbi (RMB)), $\text{Return on Sales}_{it}$ is net income scaled by total revenue, Leverage_{it} is the ratio of the firm's total debt to total assets, Sales Growth_{it} is the one-year growth in total assets, and $\text{Free Cash Flow}_{it}$ is the firm's cash flow from operations minus capital expenditures scaled by total assets in year t . SOE_{it} is an indicator variable equal to one if the firm is a state-owned entity. Industry MTB_{it} is the industry median market-to-book ratio for firm i at the beginning of year t . All firm-level independent variables are measured at the end of the preceding year. All models include an array of annual and industrial fixed effects. Standard errors are clustered at the firm level. ***, **, and * denote statistical significance at the 1%, 5%, and 10% level, respectively, using a two-tailed test.

Variable	Full Sample (N=28,152)	State-owned firms (N=5,423)	Non-state-owned firms (N=22,729)
Promotion	0.522*** (4.999)	0.362** (2.483)	0.554*** (3.560)
Demotion	0.360** (2.034)	0.451** (2.175)	-0.028 (-0.074)
Growth in GDP	-5.730*** (-4.431)	-6.558*** (-3.935)	-1.971 (-0.943)
Per Capita GDP	-0.381*** (-4.100)	-0.486*** (-3.365)	-0.181 (-1.367)
Firm Size	-0.701*** (-10.502)	-0.813*** (-8.761)	-0.637*** (-6.866)
Labor Intensity	0.366*** (6.726)	0.222*** (2.644)	0.374*** (5.433)
Return on Sales	6.214*** (13.347)	5.331*** (7.833)	6.658*** (10.723)
Leverage	3.303*** (13.219)	2.714*** (7.434)	3.589*** (10.678)
Sales Growth	1.245*** (8.886)	0.857*** (3.457)	1.556*** (5.878)
Free Cash Flow	-1.390*** (-4.833)	-1.021** (-2.346)	-1.622*** (-4.095)
Industry MTB	0.298* (1.720)	0.200 (0.843)	0.284 (1.045)
SOE	1.280*** (13.074)	-	-
Annual Indicators	Included	Included	Included
Industry Indicators	Included	Included	Included
Wald chi-squared (p-value)	1156 (0.000)	506.2 (0.000)	414.9 (0.000)
Pseudo r-squared	0.0977	0.0914	0.0842

5.12 Table 12: Political demotions

Read: Table 12 adds political demotion periods.

- The demotion coefficient is **0.360** for the full sample, significant at the 5% level.
- For state-owned firms, the coefficient is **0.451**, significant at the 5% level.
- For non-state firms, the demotion coefficient is **-0.028**, statistically insignificant.
- The promotion coefficient remains positive and significant after including demotions.

Interpretation. Demotions are sudden and associated with poor performance, so the SOE result is hard to explain as simply strong provinces producing both promotions and IPOs. It is more consistent with politicians using state assets before losing power.

6 Short summary

- **Method.** The paper constructs a province-year political promotion measure and estimates IPO hazards among exchange-eligible Chinese industrial firms.
- **Main fact.** IPO hazard rises in the year before or year of a provincial-level political promotion.
- **SOE mechanism.** State-owned firms list more in promotion periods, especially where market-development policy is more salient, consistent with politicians using IPOs to build credentials or exploit state assets.

- **Private-firm mechanism.** Non-state firms list more when promotions are likely to disrupt political connections, consistent with connected firms going public before the connection becomes less valuable.
- **Quality evidence.** Promotion-period IPOs perform worse after listing, especially among non-state firms.
- **Capital-allocation implication.** Political turnover can pull firms into public markets before the economically optimal time, worsening capital allocation and investor outcomes.

7 Conclusion

Core conclusion. Piotroski and Zhang show that China’s provincial political promotion process affects IPO timing. Firms are more likely to list when a high-level provincial politician is about to be promoted.

Economic intuition. Political promotion changes incentives before the official transition occurs. Politicians may want visible market-development achievements, SOEs may be listed to preserve or extract control benefits, and connected private firms may rush to market before political relationships are disrupted.

Takeaway. In relationship-based economies, capital-market development can be real but politically distorted. The number of IPOs can rise not because more high-quality firms have productive investment opportunities, but because political incentives temporarily make listing more attractive.